Office Management - Set 1

50 MCQs - 1 mark each - answers and explanations are at the end

> Choose the single best option. Do not look at the last pages until you finish.

1. Which concept is broader: filing, indexing or record management?
A. Filing
B. Typing
C. Record management
D. Indexing

2. A machine used for securely destroying confidential documents is a
A. scanner
B. shredder
C. laminator
D. projector

3. A layout with movable furniture that can be rearranged to meet changing needs is the
A. modular / flexible layout
B. traditional layout
C. cubicle layout
D. closed layout

4. The minimum number of directors in a private company is
A. 3
B. 7
C. 2
D. 1

5. A resolution passed by papers sent to directors is a
A. ordinary resolution
B. circulation resolution
C. poll resolution
D. special resolution

6. Office layout means
A. the legal registration of the office with the registrar of companies
B. the list of rules and policies to be followed by office employees
C. the colour scheme and decoration chosen for the reception area
D. the planned arrangement of departments, furniture, equipment and employees within the office

7. A memorandum is used for
A. legal notice issued to an employee for misconduct at work
B. brief internal communication within the same organisation
C. formal communication sent to customers and suppliers outside the firm
D. advertisement published in newspapers about job vacancies

8. Using software to perform routine office tasks automatically is
A. office automation
B. manual processing
C. dictation
D. typing

9. Which professional body conducts the Company Secretary course in India?
A. ICSI
B. SEBI
C. ICAI
D. ICMAI

10. An auditor of a company cannot
A. be a director or an employee of the same company
B. inspect the books of accounts of the company
C. be a Chartered Accountant holding a valid certificate of practice
D. report to the shareholders on the financial statements

11. An announcement of revised office timings for all employees in all branches is best sent as a
A. memo to one person
B. private email
C. circular
D. quotation

12. Which mail is generally NOT opened by the mail clerk?
A. Ordinary mail addressed to the organisation
B. Registered mail addressed to the organisation
C. Circulars sent by the dealers and suppliers
D. Mail marked 'confidential'

13. A notice is a
A. written record of the decisions taken at a meeting of directors
B. private letter sent to a single individual about a personal matter
C. formal written announcement issued to inform a specific group about an event, meeting or decision
D. list of the items to be discussed at a forthcoming meeting

14. Office etiquette is
A. the layout of furniture and equipment in the office building
B. the system of filing and indexing office documents
C. the code of conduct governing professional behaviour in the workplace
D. the set of procedures followed for purchasing office supplies

15. Filing is
A. the destruction of old and unwanted documents to save space
B. the systematic arrangement and storage of documents so they can be easily traced and retrieved
C. the typing and dispatch of letters to customers and suppliers
D. the process of dictating notes to a typist or secretary

16. An office form is
A. an oral instruction given by a superior to his subordinate
B. a private diary maintained by the manager for personal reference
C. a letter written freely by an employee without any fixed format
D. a printed or digital document with blank spaces in a fixed format to collect specific information

17. Which part comes right after the inside (receiver's) address in the standard format?
A. Signature
B. Complimentary close
C. Subject line
D. Letterhead

18. Which statement about the importance of office is correct?
A. It is needed only in manufacturing firms and not in service firms
B. It has no role in the decisions taken by the management
C. It only stores raw materials and finished goods of the firm
D. It facilitates communication and provides information to management

19. Forms with carbon or NCR copies for simultaneous distribution are
A. operating forms used for routine operations of the office
B. report forms used to present summarised information
C. multiple-copy (manifold) forms
D. single-copy forms used only once with no duplicate

20. Office management is considered both an
A. a service and a product sold in the market

B. a theory and a hobby without any practical use
C. a profession and a trade protected by law
D. art and a science

21. A formal decision of the meeting after a motion is approved by required voting is a
A. agenda
B. resolution
C. notice
D. motion

22. The front office is the department that
A. handles internal accounting and payroll without meeting any customer
B. processes data and stores records for the organisation's use only
C. directly interacts with customers, visitors and other outsiders
D. manages information technology support for the other departments

23. Separate rooms or cabins giving privacy and confidentiality describe the
A. modular layout with movable furniture and workstations
B. cubicle layout with low partitions between the workstations
C. closed (private) office layout
D. open office layout in which all work in a common hall

24. Internal websites for circulars, HR forms and notices are called
A. internet cafés
B. public blogs
C. intranet portals
D. fax machines

25. A whole-time Company Secretary is compulsory for listed companies and public companies with paid-up capital of
A. Rs 10 crore or more
B. Rs 1 crore or more and with fifty or more directors
C. Rs 50 lakh or more and with a hundred or more employees
D. Rs 1 lakh or more and with five or more shareholders

26. Notice for a general meeting such as an AGM must be given at least
A. 5 days before
B. 1 day before
C. 21 clear days before
D. 7 days before

27. To adjourn a meeting without fixing a date for the next meeting is to adjourn
A. ex parte
B. suo motu
C. sine die
D. pro rata

28. Which is the correct order of steps for inward mail?
A. Receiving, sorting, opening and stamping, recording, distribution
B. Sorting, distribution, receiving, recording
C. Distribution, recording, receiving, sorting
D. Recording, receiving, distribution, sorting

29. Classification of records on the basis of importance includes
A. red, blue and green records according to the colour of the files
B. front, middle and back records according to the location in the office
C. vital, important, useful and non-essential records
D. internal and external records according to the department concerned

30. A proxy is a person who
A. presides over the meeting and signs the minutes
B. keeps the notes of the meeting and drafts the minutes

C. attends and votes on behalf of a member who cannot attend
D. audits the proceedings of the meeting and certifies them

31. An office rented from another tenant, usually short-term and cheaper, is a
A. contiguous office
B. sublet office
C. private office
D. creative office

32. The Chairman is the person who
A. manages the day-to-day business of the company as an employee
B. examines and verifies the accounts and reports to the shareholders
C. keeps the minutes book and maintains the statutory registers
D. presides over meetings of the Board and guides its functioning

33. The maximum gap between two Annual General Meetings should not exceed
A. 6 months
B. 15 months
C. 5 years
D. 3 years

34. Notice for a board meeting must be given at least
A. 30 days before
B. 21 clear days before
C. 7 days before
D. 1 day before

35. Statutory duties of a secretary include
A. recruiting factory workers and supervising their daily work
B. fixing the prices of the products and planning the advertisements
C. maintaining registers and filing returns with the ROC
D. selling the products and collecting the payment from customers

36. 'Dear Sir/Madam' is the
A. signature
B. complimentary close
C. salutation
D. subject line

37. The casting vote is exercised by the Chairman
A. only at the AGM when the dividend is to be declared
B. only when the votes are equally divided
C. never, because the chairman has no right to vote in any case
D. always, in addition to his ordinary vote, on every resolution

38. The Annual General Meeting (AGM) is held
A. every five years, within one year of the financial year end
B. twice a year, within three months of each half-year end
C. yearly, within 6 months of the financial year end
D. only when the directors feel that it is necessary to hold it

39. Which is an advantage of decentralised record keeping?
A. Lower overall cost of the staff and space for records
B. Perfect uniformity in the filing methods used by all the departments
C. No duplication of records across departments of the firm
D. Quick access for the department's own needs

40. Minutes are
A. the official written record of what happened and was decided at a meeting
B. the sheet signed by the members present at the meeting
C. the written notice sent to members calling a meeting
D. the list of items to be discussed at the forthcoming meeting

41. A statement explaining the nature of special business is attached to the notice as an
A. balance sheet
B. audit report
C. directors' report
D. explanatory statement

42. A layout where employees work together in a large area without permanent walls is the
A. closed office layout
B. cubicle layout
C. open office layout
D. private office layout

43. A leave application form is an example of
A. a tax return
B. an internal form
C. an invoice
D. an external form

44. Which is a quality of a good secretary?
A. Poor organisational ability and bad time management
B. Confidentiality and integrity
C. Disclosing the secrets of the employer to outsiders
D. Carelessness and lack of discipline in the handling of work

45. An ordinary resolution is passed by
A. unanimity only
B. the Chairman alone
C. 75% of votes
D. a simple majority

46. If quorum is not present within half an hour of the scheduled time, a general meeting is generally
A. cancelled forever and the business is dropped from the agenda
B. held after one year when the quorum can be formed
C. adjourned to the same day in the next week
D. held without the quorum, since the business is urgent

47. The relationship between filing and indexing is that they are
A. unrelated, as one deals with letters and the other with accounts
B. opposite activities, since indexing destroys what filing stores
C. one and the same activity carried out by the same clerk
D. complementary activities

48. Which item usually appears at the end of an agenda?
A. Call to order by the chairman of the meeting
B. Notice calling the meeting issued by the secretary
C. Any other business with Chairman's permission
D. Confirmation of the minutes of the previous meeting

49. Information on removable strips in a holder, such as an office telephone directory, is a
A. page index
B. strip index
C. computerised index
D. visible card index

50. In centralised filing, documents of all departments are kept in
A. one central filing department
B. employees' homes
C. bank lockers
D. each department separately

Answer key - Set 1

1. **C**	11. **C**	21. **B**	31. **B**	41. **D**
2. **B**	12. **D**	22. **C**	32. **D**	42. **C**
3. **A**	13. **C**	23. **C**	33. **B**	43. **B**
4. **C**	14. **C**	24. **C**	34. **C**	44. **B**
5. **B**	15. **B**	25. **A**	35. **C**	45. **D**
6. **D**	16. **D**	26. **C**	36. **C**	46. **C**
7. **B**	17. **C**	27. **C**	37. **B**	47. **D**
8. **A**	18. **D**	28. **A**	38. **C**	48. **C**
9. **A**	19. **C**	29. **C**	39. **D**	49. **B**
10. **A**	20. **D**	30. **C**	40. **A**	50. **A**

Answers with explanations

1. Which concept is broader: filing, indexing or record management?

Answer: C. Record management

Why correct: Record management covers the whole life of records and includes filing and indexing.

A is wrong: Filing is only a part.

B is wrong: Typing is a communication task.

D is wrong: Indexing is only a part.

2. A machine used for securely destroying confidential documents is a

Answer: B. shredder

Why correct: A shredder cuts documents into pieces to protect secrets.

A is wrong: A scanner digitises.

C is wrong: A laminator seals paper in plastic.

D is wrong: A projector shows slides.

3. A layout with movable furniture that can be rearranged to meet changing needs is the

Answer: A. modular / flexible layout

Why correct: Movable furniture that can be rearranged is modular or flexible layout.

B is wrong: Traditional layout is fixed.

C is wrong: Cubicle layout has fixed partitions.

D is wrong: Closed layout has fixed rooms.

4. The minimum number of directors in a private company is

Answer: C. 2

Why correct: A private company needs at least 2 directors.

A is wrong: 3 is for a public company.

B is wrong: 7 is not the minimum.

D is wrong: 1 is for a One Person Company.

5. A resolution passed by papers sent to directors is a

Answer: B. circulation resolution

Why correct: Directors passing a resolution by circulated papers is circulation resolution.

A is wrong: Ordinary resolution is by members.

C is wrong: Poll resolution is a vote method.

D is wrong: Special resolution needs 75%.

6. Office layout means

Answer: D. the planned arrangement of departments, furniture, equipment and employees within the office

Why correct: Layout is the planned arrangement of departments, furniture, equipment and people.

A is wrong: Registration is legal.

B is wrong: Rules are an office manual.

C is wrong: Colour scheme is decoration.

7. A memorandum is used for

Answer: B. brief internal communication within the same organisation

Why correct: A memo is brief and used inside the organisation.

A is wrong: A legal notice is formal.

C is wrong: Customers and suppliers get letters.

D is wrong: Job ads are advertisements.

8. Using software to perform routine office tasks automatically is

Answer: A. office automation

Why correct: Office automation uses software for routine tasks.

B is wrong: Manual processing is by hand.

C is wrong: Dictation is speaking to a typist.

D is wrong: Typing is by hand.

9. Which professional body conducts the Company Secretary course in India?

Answer: A. ICSI

Why correct: ICSI conducts the CS course.

B is wrong: SEBI regulates securities.

C is wrong: ICAI is for Chartered Accountants.

D is wrong: ICMAI is for cost accountants.

10. An auditor of a company cannot

Answer: A. be a director or an employee of the same company

Why correct: An auditor must be independent, so he cannot be a director or employee.

B is wrong: Inspecting books is his job.

C is wrong: Being a CA is required.

D is wrong: Reporting to shareholders is his job.

11. An announcement of revised office timings for all employees in all branches is best sent as a

Answer: C. circular

Why correct: Timings for all employees in all branches need a circular.

A is wrong: A memo to one person is too limited.

B is wrong: A private email is personal.

D is wrong: A quotation is a price offer.

12. Which mail is generally NOT opened by the mail clerk?

Answer: D. Mail marked 'confidential'

Why correct: Confidential mail goes unopened to the person named.

A is wrong: Ordinary mail is opened.

B is wrong: Registered mail is opened and recorded.

C is wrong: Circulars are opened.

13. A notice is a

Answer: C. formal written announcement issued to inform a specific group about an event, meeting or decision

Why correct: A notice is a formal written announcement to a group about an event or decision.

A is wrong: Minutes record decisions.

B is wrong: A private letter is personal.

D is wrong: An agenda lists items.

14. Office etiquette is

Answer: C. the code of conduct governing professional behaviour in the workplace

Why correct: Etiquette is the code of conduct for professional behaviour.

A is wrong: Furniture arrangement is layout.

B is wrong: Filing is record keeping.

D is wrong: Purchasing steps are procedures.

15. Filing is

Answer: B. the systematic arrangement and storage of documents so they can be easily traced and retrieved

Why correct: Filing arranges and stores documents so they can be traced quickly.

A is wrong: Destroying is disposal.

C is wrong: Typing and dispatch are correspondence.

D is wrong: Dictation is a typing task.

16. An office form is

Answer: D. a printed or digital document with blank spaces in a fixed format to collect specific information

Why correct: An office form has blanks in a fixed format to collect set information.

A is wrong: An oral instruction is spoken.

B is wrong: A private diary is personal.

C is wrong: A free-format letter is not a form.

17. Which part comes right after the inside (receiver's) address in the standard format?

Answer: C. Subject line

Why correct: Order: letterhead, reference/date, inside address, then subject line.

A is wrong: Signature comes at the end.

B is wrong: Complimentary close comes near the end.

D is wrong: Letterhead is at the top.

18. Which statement about the importance of office is correct?

Answer: D. It facilitates communication and provides information to management

Why correct: The office provides information and communication that management needs.

A is wrong: Service firms need offices too.

B is wrong: Offices support decisions with information.

C is wrong: Storing materials is a godown job.

19. Forms with carbon or NCR copies for simultaneous distribution are

Answer: C. multiple-copy (manifold) forms

Why correct: Carbon or NCR copies give multiple copies at once: manifold forms.

A is wrong: Operating forms are for routine.

B is wrong: Report forms give summaries.

D is wrong: Single-copy forms have no duplicate.

20. Office management is considered both an

Answer: D. art and a science

Why correct: It needs skill and leadership (art) and also principles and systematic methods (science).

A is wrong: Service and product do not describe its nature.

B is wrong: It has practical use.

C is wrong: A profession and trade do not describe its nature.

21. A formal decision of the meeting after a motion is approved by required voting is a

Answer: B. resolution

Why correct: A motion approved by the required vote becomes a resolution.

A is wrong: An agenda lists items.

C is wrong: A notice calls the meeting.

D is wrong: A motion is the proposal.

22. The front office is the department that

Answer: C. directly interacts with customers, visitors and other outsiders

Why correct: The front office meets customers and visitors directly.

A is wrong: Internal accounting is back office.

B is wrong: Data storing is back office.

D is wrong: IT support is back office.

23. Separate rooms or cabins giving privacy and confidentiality describe the

Answer: C. closed (private) office layout

Why correct: Separate rooms or cabins give privacy: closed layout.

A is wrong: Modular layout uses movable furniture.

B is wrong: Cubicle layout uses low partitions.

D is wrong: Open layout is a common hall.

24. Internal websites for circulars, HR forms and notices are called

Answer: C. intranet portals

Why correct: An intranet portal is the private internal website.

A is wrong: An internet cafe is public.

B is wrong: A public blog is public.

D is wrong: A fax is a machine.

25. A whole-time Company Secretary is compulsory for listed companies and public companies with paid-up capital of

Answer: A. Rs 10 crore or more

Why correct: A whole-time CS is required for listed companies and public companies with paid-up capital of Rs 10 crore or more.

B is wrong: Rs 1 crore is too low.

C is wrong: Rs 50 lakh is too low.

D is wrong: Rs 1 lakh is far too low.

26. Notice for a general meeting such as an AGM must be given at least

Answer: C. 21 clear days before

Why correct: A general meeting needs 21 clear days' notice.

A is wrong: 5 days is too short.

B is wrong: 1 day is too short.

D is wrong: 7 days is for Board meetings.

27. To adjourn a meeting without fixing a date for the next meeting is to adjourn

Answer: C. sine die

Why correct: Adjourning with no date fixed is 'sine die'.

A is wrong: Ex parte means one side only.

B is wrong: Suo motu means on its own motion.

D is wrong: Pro rata means proportionate.

28. Which is the correct order of steps for inward mail?

Answer: A. Receiving, sorting, opening and stamping, recording, distribution

Why correct: Inward mail is received, sorted, opened and stamped, recorded, then distributed.

B is wrong: Sorting cannot come after distribution.

C is wrong: Distribution cannot come first.

D is wrong: Recording cannot come before receiving.

29. Classification of records on the basis of importance includes

Answer: C. vital, important, useful and non-essential records

Why correct: Importance classes: vital, important, useful, non-essential.

A is wrong: Colour is not importance.

B is wrong: Location is not importance.

D is wrong: Internal/external is origin.

30. A proxy is a person who

Answer: C. attends and votes on behalf of a member who cannot attend

Why correct: A proxy attends and votes on behalf of an absent member.

A is wrong: The Chairman presides.

B is wrong: The secretary writes minutes.

D is wrong: The auditor audits.

31. An office rented from another tenant, usually short-term and cheaper, is a

Answer: B. sublet office

Why correct: A sublet office is rented from another tenant, short term and cheaper.

A is wrong: Contiguous means adjoining.

C is wrong: Private office is one's own.

D is wrong: Creative is a style.

32. The Chairman is the person who

Answer: D. presides over meetings of the Board and guides its functioning

Why correct: The Chairman presides over Board meetings.

A is wrong: Day-to-day management is by the managing director.

B is wrong: Checking accounts is the auditor's job.

C is wrong: Keeping minutes is the secretary's job.

33. The maximum gap between two Annual General Meetings should not exceed

Answer: B. 15 months

Why correct: The gap between two AGMs must not exceed 15 months.

A is wrong: 6 months is the time after year end.

C is wrong: 5 years is too long.

D is wrong: 3 years is too long.

34. Notice for a board meeting must be given at least

Answer: C. 7 days before

Why correct: Board meeting notice must be given at least 7 days before.

A is wrong: 30 days is too long.

B is wrong: 21 clear days is for general meetings.

D is wrong: 1 day is too short.

35. Statutory duties of a secretary include

Answer: C. maintaining registers and filing returns with the ROC

Why correct: Statutory duties include maintaining registers and filing returns with the ROC.

A is wrong: Recruiting factory workers is HR/production.

B is wrong: Pricing and ads are marketing.

D is wrong: Selling is the sales department's job.

36. 'Dear Sir/Madam' is the

Answer: C. salutation

Why correct: 'Dear Sir/Madam' greets the receiver: salutation.

A is wrong: Signature is the sender's name.

B is wrong: Complimentary close ends the letter.

D is wrong: Subject line states the topic.

37. The casting vote is exercised by the Chairman

Answer: B. only when the votes are equally divided

Why correct: The casting vote is used only when votes are equal.

A is wrong: It is not limited to the AGM.

C is wrong: A chairman can vote.

D is wrong: He does not vote twice always.

38. The Annual General Meeting (AGM) is held

Answer: C. yearly, within 6 months of the financial year end

Why correct: The AGM is yearly, within 6 months of year end.

A is wrong: Every five years is wrong.

B is wrong: Twice a year is wrong.

D is wrong: It is mandatory, not optional.

39. Which is an advantage of decentralised record keeping?

Answer: D. Quick access for the department's own needs

Why correct: Decentralised keeping gives each department quick access.

A is wrong: Cost is usually higher.

B is wrong: Uniformity is a centralised strength.

C is wrong: Duplication is a decentralised weakness.

40. Minutes are

Answer: A. the official written record of what happened and was decided at a meeting

Why correct: Minutes are the official written record of what was decided.

B is wrong: An attendance sheet lists members present.

C is wrong: A notice calls the meeting.

D is wrong: An agenda lists items.

41. A statement explaining the nature of special business is attached to the notice as an

Answer: D. explanatory statement

Why correct: An explanatory statement describes the special business (Section 102).

A is wrong: The balance sheet is financial.

B is wrong: The audit report is about accounts.

C is wrong: The directors' report is about the year.

42. A layout where employees work together in a large area without permanent walls is the

Answer: C. open office layout

Why correct: A common area without permanent walls is an open layout.

A is wrong: Closed layout uses rooms.

B is wrong: Cubicle layout uses partitions.

D is wrong: Private layout uses cabins.

43. A leave application form is an example of

Answer: B. an internal form

Why correct: A leave form is used inside the firm: internal form.

A is wrong: A tax return goes to the government.

C is wrong: An invoice is a bill.

D is wrong: External forms are used with outsiders.

44. Which is a quality of a good secretary?

Answer: B. Confidentiality and integrity

Why correct: A secretary handles secrets, so confidentiality and integrity matter most.

A is wrong: Poor organisation harms the work.

C is wrong: Disclosing secrets breaks trust.

D is wrong: Carelessness harms the work.

45. An ordinary resolution is passed by

Answer: D. a simple majority

Why correct: An ordinary resolution needs a simple majority.

A is wrong: Unanimity is not required.

B is wrong: The Chairman cannot pass it alone.

C is wrong: 75% is a special resolution.

46. If quorum is not present within half an hour of the scheduled time, a general meeting is generally

Answer: C. adjourned to the same day in the next week

Why correct: Without quorum the meeting is adjourned to the same day next week.

A is wrong: It is not cancelled forever.

B is wrong: A year's wait is not required.

D is wrong: Business cannot proceed without quorum.

47. The relationship between filing and indexing is that they are

Answer: D. complementary activities

Why correct: Filing stores and indexing helps find - they are complementary.

A is wrong: They are related.

B is wrong: Indexing does not destroy.

C is wrong: They are two activities.

48. Which item usually appears at the end of an agenda?

Answer: C. Any other business with Chairman's permission

Why correct: 'Any other business' comes last.

A is wrong: Call to order is first.

B is wrong: Notice is issued before the meeting.

D is wrong: Confirming minutes is early.

49. Information on removable strips in a holder, such as an office telephone directory, is a

Answer: B. strip index

Why correct: A strip index holds removable strips in a holder - handy for a telephone directory that changes often.

A is wrong: A page index is a bound book.

C is wrong: A computerised index uses a computer.

D is wrong: A visible card index keeps cards in a frame.

50. In centralised filing, documents of all departments are kept in

Answer: A. one central filing department

Why correct: Centralised filing keeps all documents in one department.

B is wrong: Employees' homes are unsafe.

C is wrong: Bank lockers are for valuables.

D is wrong: Each department separately is decentralised.